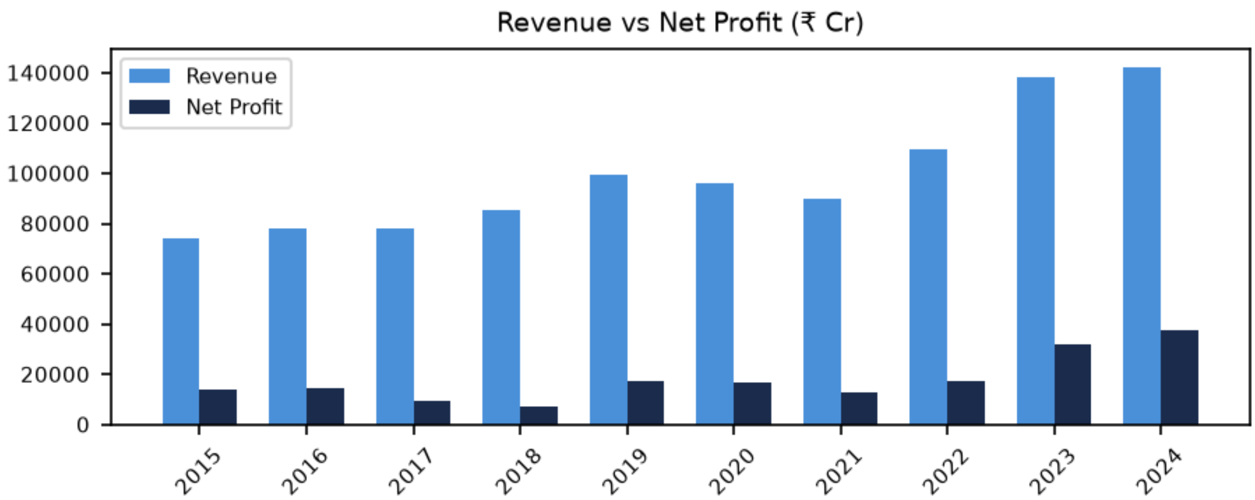
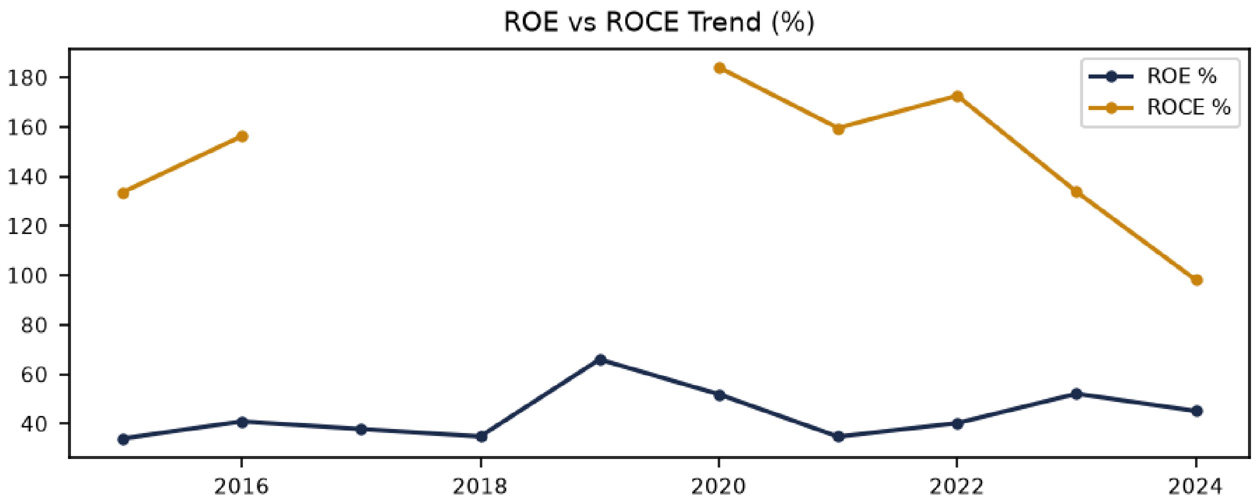
Coal India Ltd

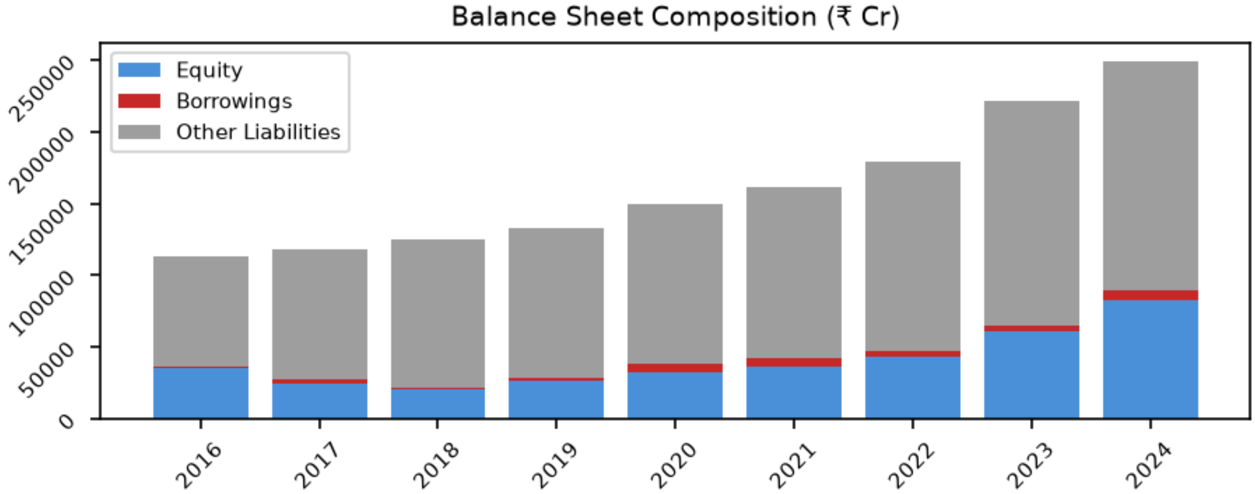
COALINDIA · Materials

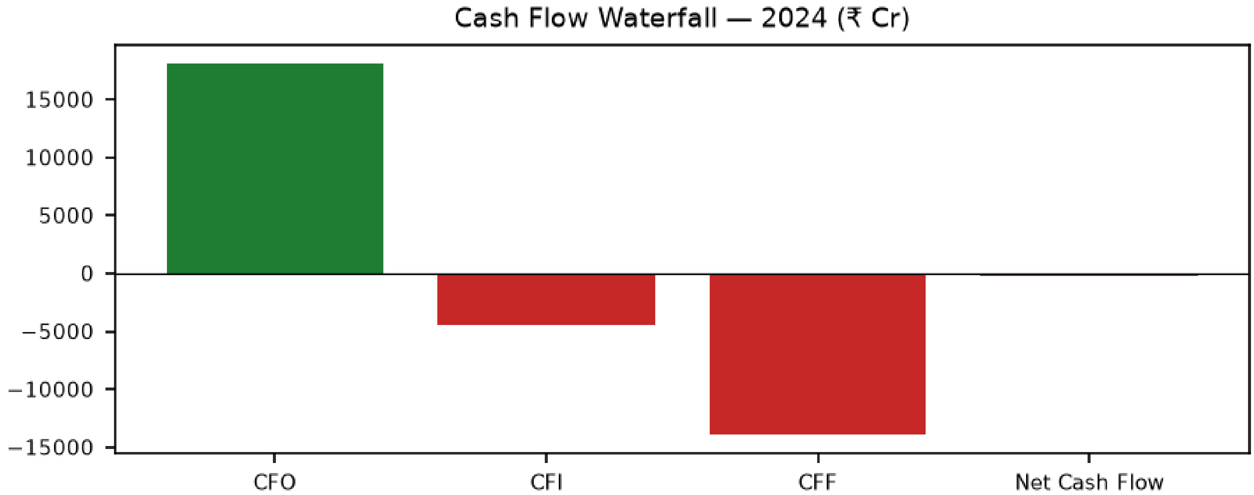
ROE	ROCE	Net Profit Margin
45.2%	98.2%	26.3%

Debt-to-Equity	Revenue CAGR (5yr)	Free Cash Flow
0.08	7.4%	■13,617 Cr









Pros

✓ Strong free cash flow generation over 5 years signals healthy business fundamentals

✓ Consistently high return on equity above 20% demonstrates exceptional capital efficiency

✓ Operating profit margin above 25% indicates strong pricing power and cost discipline

✓ Consistent dividend yield above 2% backed by positive free cash flow

✓ Revenue growing slower than profits shows improving operating leverage and scale benefits

✓ Very high interest coverage ratio reflects negligible financial stress from debt servicing

Cons

✗ Operating margins declining for 3 consecutive years suggest pricing or cost pressure

Capital Allocation: Reinvestor